

Warsaw, December 13, 2022

Decision

DKE.561.25.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000, as amended) in connection with Article 7 § 1 and 2 and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 57 § 1 letters a) and h), Article 58 § 2 letter b) in connection with Article 31 and Article 58 § 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 04.05.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on W. Sp. z o.o. based in K. at ul. (...), the President of the Personal Data Protection Office,

issues a reprimand to W. Sp. z o.o. based in K. at ul. (...), for violating the provisions of Article 31 and Article 58 § 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (OJ EU L 119 of 04.05.2016, p. 1, OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35), hereinafter referred to as the "Regulation 2016/679", consisting of a lack of cooperation with the President of the UODO in the performance of his duties and failing to provide the President of the UODO access to personal data and information necessary for the execution of his tasks.

Justification

Factual Background

The Personal Data Protection Office (hereinafter: "UODO") received a complaint from Mr. P. C. residing in K. at ul. (...) (hereinafter referred to as the "Complainant"), regarding irregularities in the processing of his personal data by W. Sp. z o.o. based in K. at ul. (...) (hereinafter referred to as the "Company"), consisting of the processing of the Complainant's data in the scope of his first name, last name, residential address, email address, and the first name of his wife. The President of the Personal Data Protection Office (hereinafter "President of UODO") in the course of the initiated administrative proceedings aimed at examining the submitted complaint (under reference DS.523.2405.2021), by letter dated July 21, 2021, requested the Company to respond to the content of the complaint and to answer the following questions:

- 1) whether the Company processes the Complainant's personal data in the scope of his first name and last name, residential address, email address, and the first name of his wife, and if so, on what legal basis and for what purpose;
- 2) when the Company obtained the Complainant's personal data in the scope of his first name and last name, residential address, email address, and the first name of his wife, from what source, on what legal basis, and for what purpose;
- 3) whether the Company received requests from the Complainant for information regarding the processing of his personal data by the Company, and if so, please provide the dates of these requests (in particular whether from September 3, 2020, September 22, 2020, and December 4, 2020), as well as when and how the Company responded to them – please send copies of the requests and copies of the responses, if provided;
- 4) whether the Complainant requested the Company to delete his personal data in the scope of his first name and last name, residential address, email address, and the first name of his wife, and if so, when (in particular whether on December 4, 2020), as well as when and how the Company responded to the Complainant's request – if the Company deleted his personal data, when did this occur.

The Company responded with explanations by letter dated August 10, 2021. It informed that based on the agreement with (...) for the management of the common property, it is the manager of the property located at ul. (...) in K., where the Complainant and his wife reside. The Company acts on behalf of

and for the benefit of the housing community of the aforementioned property. In this regard, the Company obtained and processes the Complainant's personal data in the scope of his first name, last name, residential address, email address, and the first name of his wife for the purpose of executing the property management agreement with (...). The subject matter of this agreement includes, among other things, maintaining records of payments and advances to cover the costs of managing the common property, collecting overdue payments, conducting correspondence, and preparing documents enabling judicial collection. The Company did not receive requests from the Complainant for information regarding the processing of his personal data. The letters from the Complainant dated September 3, 2020, and September 22, 2020, concerned advances to cover the costs of managing the common property. The letter sent by the Company dated August 10, 2021, did not meet the formal requirements for applications specified in Article 63 § 2 of the Administrative Procedure Code – it was signed only by Mr. K. I. – Vice President of the Company's Management Board, while according to the method of representation described in the National Court Register, the Company is represented by two members of the management board jointly or a member of the management board jointly with a proxy. In letters dated January 18, 2022, and April 14, 2022, the President of the Personal Data Protection Office (UODO) summoned the Company to supplement formal deficiencies. He indicated the need to provide the power of attorney granted to Mr. K. I. to represent the Company in proceedings before the UODO as of the date of submission of explanations or, alternatively, to provide written explanations signed by persons authorized to represent the Company in accordance with the content of the entry in the National Court Register. Both letters were not collected by the Company. After two notifications, they were returned to the UODO on February 18, 2022, and May 17, 2022, with the annotation: "Return – the addressee did not collect the shipment in time," which is why the letters were considered delivered to the Company in accordance with Article 44 § 4 of the Code of Administrative Procedure (Kpa).

In the letter dated April 14, 2022, the Company was informed that the lack of a comprehensive response to the summons could result in a lack of cooperation with the President of the UODO in the performance of his duties and the failure to provide access to personal data and information necessary for the President of the UODO to carry out his tasks, leading to the imposition on the Company – in accordance with Article 83(4)(a) or Article 83(5)(b) of Regulation 2016/679 – of an administrative monetary penalty.

Due to the lack of cooperation with the President of the UODO in the performance of his duties and the failure to provide the information necessary for the President of the UODO to carry out these tasks, the President of the UODO initiated ex officio administrative proceedings against the Company (case reference DKE.561.25.2022) regarding the imposition of an administrative monetary penalty for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Company was informed about the initiation of the proceedings by a letter dated September 2, 2022 – delivered on September 7, 2022. This letter summoned the Entrepreneur – for the purpose of determining the basis for the penalty, based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) – to present the financial statement or another document showing the amount of turnover and financial results achieved by the Entrepreneur in 2021.

The letter dated September 2, 2022, contained a warning about the possibility of imposing on the Company – in the event of a lack of a comprehensive response to this summons – an administrative monetary penalty based on Article 83(5)(e) of Regulation 2016/679 due to a lack of cooperation with the President of the UODO in the performance of his duties (Article 31 of Regulation 2016/679) and the failure to provide access to personal data and information necessary for the President of the UODO to carry out his tasks (Article 58(1)(a) and (e) of Regulation 2016/679). The Company was also informed that if it provided explanations requested by the President of the UODO in the letter dated July 21, 2021, in the proceedings with reference DS.523.2405.2021, or supplemented the formal deficiencies of its letter dated August 10, 2021, this circumstance could mitigate the administrative monetary penalty or lead to the decision to refrain from imposing it.

The above factual circumstances were established by the President of the UODO based on the

entirety of the official correspondence conducted between the Company and the President of the UODO, which is included in the case files of the proceedings with reference DS.523.2405.2021. This correspondence reflects the entirety of the attempts made by the President of the UODO to gain access to the information necessary for the performance of his tasks, that is, in this case – to consider the case with reference DS.523.2405.2021, and on the other hand – the Company's response to the requests of the President of the UODO.

In response to the letter from the President of the UODO regarding the initiation of proceedings concerning the imposition of an administrative monetary penalty on the Company, the Company submitted explanations in a letter dated October 5, 2022. The Company informed about the resolution adopted on September 17, 2022, by the Extraordinary General Meeting of Shareholders regarding the amendment of the company's articles of association concerning the method of representation. Paragraph (...) of the articles of association was amended to read: "The management board consists of two to five members, including the President and Vice President. The Company is represented by each member of the management board independently, provided that the conclusion of credit agreements, loans, and leases requires the cooperation of two members of the management board or a member of the management board together with a proxy." The Company also attached written explanations (letter dated September 26, 2022) signed by a person authorized to independently represent the Company – Mr. K. I., Vice President of the Company's Management Board. Additionally, the Company presented a copy of the resolution of the Extraordinary General Meeting of Shareholders from September 17, 2022, and a copy of the financial statement for 2021. Aware of the lack of cooperation with the President of the UODO, the Company requested that the aforementioned explanations be taken into account and that the imposition of an administrative monetary penalty be refrained from.

After reviewing all the evidence collected in the case, the President of the UODO considered the following.

Legal justification

According to Article 57(1)(a) of Regulation 2016/679, the President of the UODO – as a supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of the UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57(1)(f)). To enable the realization of such defined tasks, the President of the UODO has a number of powers specified in Article 58(1) of Regulation 2016/679.

in the scope of conducted proceedings, including the right to order the administrator and the processor to provide any information necessary for the performance of its tasks (Article 58(1)(a)) and the right to obtain from the administrator and the processor access to all personal data and all information necessary for the performance of its tasks (Article 58(1)(e)). Furthermore, the President of the UODO has a number of specific powers defined in Article 58(2), including the issuance of warnings to the administrator or the processor in the event of a violation of the provisions of Regulation 2016/679 by processing operations. A violation of the provisions of Regulation 2016/679, consisting of the failure of the administrator or the processor to provide access to the data and information mentioned above, resulting in a violation of the rights of the authority specified in Article 58(1) (including the right to obtain data and information necessary for the performance of its tasks), is subject – in accordance with Article 83(5)(e) in fine of Regulation 2016/679 – to an administrative fine of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable. On the other hand, a violation of the provisions of Regulation 2016/679, consisting of a lack of willingness to cooperate with the supervisory authority in the performance of its tasks (Article 31), is subject – in accordance with Article 83(4)(a) of Regulation 2016/679 – to an administrative fine of up to EUR 10,000,000, and in the case of an enterprise – up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount

applicable.

The President of the UODO, acting under Article 58(2)(b) of Regulation 2016/679, may also consider it justified to issue a warning to the administrator regarding the established violation of Article 31 in connection with Article 58(1)(e) of Regulation 2016/679. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of the regulation to be more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under this regulation by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a warning. However, due attention should be paid to the nature, gravity, and duration of the violation, whether the violation was not intentional, the actions taken to minimize the damage, the degree of responsibility or any relevant prior violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the administrator or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should be noted that the Company – managing the personal data of the Complainant and his wife on behalf of the housing community – as a party to the proceedings conducted by the President of the UODO under reference number DS.523.2405.2021, by failing to submit explanations (the letter did not meet formal requirements) undoubtedly violated the obligation to cooperate and to ensure the President of the UODO access to information necessary for the performance of his tasks – in this case, for the substantive resolution of the case under reference number DS.523.2405.2021. The President of the UODO, in order to establish the factual state of the case under reference number DS.523.2405.2021, twice requested the Company to supplement the formal deficiencies of the letter. No responses were received to any of the letters dated January 18, 2022, and April 14, 2022. This necessitated the initiation of proceedings regarding the imposition of an administrative fine (reference number DKE.561.25.2022). As a result, the Company began cooperating with the President of the UODO. The Company submitted explanations in a letter dated September 26, 2022 (with identical content as the letter dated August 10, 2021), while meeting the formal requirements for applications specified in Article 63 § 2 of the Code of Administrative Procedure. This allowed the President of the UODO to continue the proceedings in the case under reference number DS.523.2405.2021. Therefore, it should be acknowledged that upon the delivery of the Company's complete explanations to the UODO, that is, on October 19, 2022, the state of violation of the provisions of Regulation 2016/679 that is the subject of these proceedings ceased.

In the opinion of the President of the UODO, there is no doubt that the Company, through its behavior, committed a violation of the provisions of Regulation 2016/679. The actions of the Company resulted in a lack of access to evidence necessary for the substantive resolution of the Complainant's case for the period from August 2021 to October 2022, i.e., from the deadline for submitting explanations indicated in the letter dated July 21, 2021, to the date of delivery of explanations meeting formal requirements. The President of the UODO obtaining explanations from the Company does not relieve it of responsibility for the earlier omission, which consisted of twice evading the supplementation of the formal deficiencies of the letter dated August 10, 2021. However, the presentation of explanations by the Company should be taken into account as having a significant impact on the assessment of the Company's behavior in the context of the choice of sanction applied to it in these proceedings.

In the factual state of this case, as a result of the initiation of these proceedings, no other circumstances indicating a lack of willingness to cooperate by the Company with the President of the UODO were found. The circumstances of the case, particularly the subsequent attitude of the Company, allow for the conclusion that its initial delay did not stem from bad faith, nor was it intended to deliberately obstruct the proceedings. On the contrary –

****Subsequent, active stance of the Company indicates its readiness to continue cooperation with the President of the UODO.**** In the opinion of the supervisory authority, the mere initiation of proceedings regarding the imposition of an administrative monetary penalty and the real prospect of imposing a financial penalty have become a clear signal for the Company that further evasion of obligations

imposed by the provisions of Regulation 2016/679 would inevitably lead to the application of the most severe sanctions provided for by these provisions.

The President of the UODO has determined that in this case, issuing a warning, in light of the criteria specified in Article 83(2) of Regulation 2016/679, will be sufficient and at least as "effective, proportionate, and deterrent" as imposing a monetary penalty (see Article 83(1) of Regulation 2016/679). It should also be noted that in the event of a similar occurrence in the future, any warning issued by the President of the UODO against the Company will be taken into account when assessing the grounds for the potential imposition of an administrative monetary penalty, in accordance with the principles set out in Article 83(2) of Regulation 2016/679.

In this factual and legal state, the President of the UODO has decided as stated in the operative part of this decision.

****Instruction****

The decision is final. The party has the right to file a complaint against the decision to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 - 193 Warsaw). The fee for the complaint is 200 PLN. In the proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of proceedings or during the course of the proceedings. The application is free of court fees.

****Print Article****

****Metadata****

Provider: Department of Penalties and Enforcement

Information created by: Jan Nowak

2022-12-13

Information entered by: Mathias Proch

2023-08-01 10:47:27

Last modified by: Edyta Madziar

2023-09-08 10:25:13